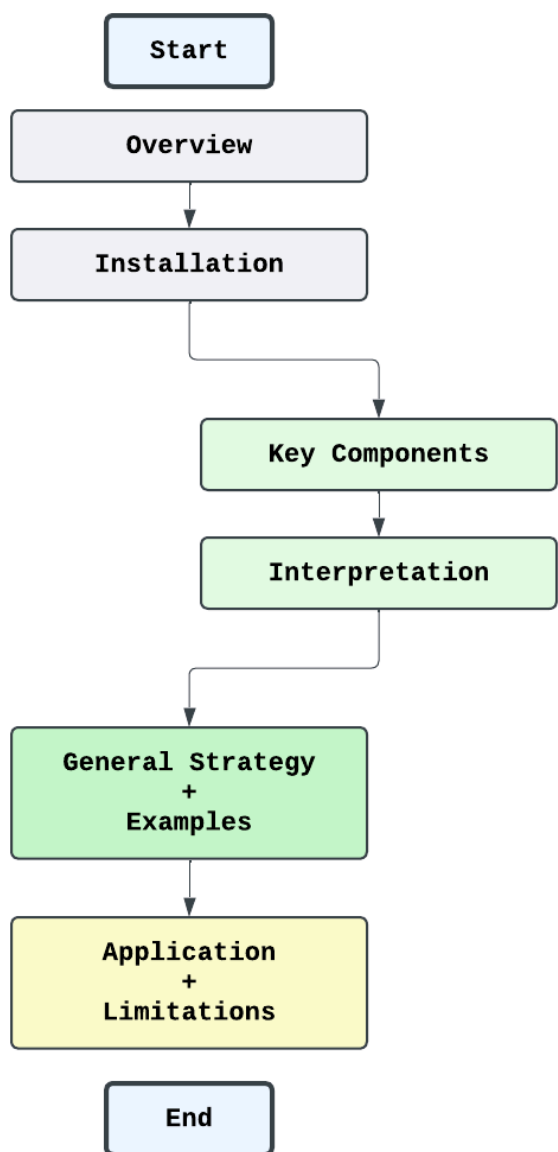




EBB + FLOW INDICATOR

ONBOARDING DOCUMENTATION v1.0

This document is designed to help new users set up and understand the **EBB + FLOW** indicator. The guide will walk you through its features, interpretation, and best practices.



A. Overview

Ebb and Flow is an idiom that illustrates a type of motion marked by a repetitive pattern of coming and going or rising and falling. Think of market action like money flowing in and flowing out in a similar wave-like fashion.

Ebb + Flow measures that flow using price position and volume to show if buyers (accumulation) or sellers (distribution) are in control.

It answers (2) key questions:

1. Is money flowing into or out of the asset?

2. Are buyers or sellers currently in control based on volume pressure?

It's great for (3) things:

1. Gauging the strength of buying/selling within a trend or range

2. Identifying divergences

3. Confirming breakouts or reversals with volume-backed information

 This indicator is versatile in its calculation where it can be applied to any market (e.g. *stocks, forex, crypto, or any market with sufficient volume data.*

B. Installation Instructions

1. Open this link: [Ebb + Flow](#)

2. Click “Use on Chart”



3. Done! ✓

C. Key Components

Component	Description	Visual Cue
Ebb & Flow Line	Flow direction	White Line
SMA Line	Simple moving average	Gray Line
Equilibrium Line	Fixed zero line that serves as the balance point Above = positive flow Below = negative flow	 Yellow Line
Cyan Fill	Area when flow is > 0	 Cyan Fill
Pink Fill	Area when flow is < 0	 Pink Fill



D. Interpretation

Ebb + Flow shows trend pressure like a tide:

- 1) Cyan → Bullish pressure (↑)
- 2) Pink → Bearish pressure (↓)

3 second read:

- 1) Line → Above/below equilibrium line?
- 2) Fill → Bullish/Bearish fill?
- 3) Trend → Price Confirmation or Price Divergence?

I. Where Is The Line Relative to Zero?

Position	Interpretation	Playbook
Above Zero (Cyan Fill)	Positive Flow Buyers control volume pressure	Bullish Bias Look for continuation entries
Below Zero (Pink Fill)	Negative Flow Sellers control volume pressure	Bearish Bias Look for breakdown short entries
Crossing Zero (↑)	Shift To Buying Buyers starting to take control of flow	Potential Bullish Reversal Watch for bullish confirmation
Crossing Zero (↓)	Shift to Selling Sellers starting to take control of flow	Potential Bearish Reversal Watch for bearish confirmation

II. Is There Confirmation or Divergence?

EF Trend Direction	Price Action	Interpretation	Playbook
EF Rising (↑) Above SMA	Price either in consolidation and/or forming higher lows (↑)	Strengthening flow Momentum Building	Bullish Bias Look for continuation entries
EF Falling (↓) Below SMA	Price finding resistance or showing exhaustion and/or forming lower highs (↓)	Weakening flow Momentum Fading	Bearish Bias Exit or reverse positions
EF Rising Above Zero (↑)	Price bouncing on support Price forming higher lows Price breaking resistances (↑)	Building positive flow Increasing Buy Pressure Bulls taking control of volume	Bullish signal Consider longs if supported by volume
EF Falling Below Zero (↓)	Price rejecting against resistance Price forming lower highs Price breaking support (↓)	Building negative flow Increasing Sell Pressure Bears taking control of volume	Bearish signal Consider shorts if supported by volume
EF making higher lows (↑) [ABOVE ZERO]	Price making lower lows (↓)	Bullish Divergence Above Equilibrium Hidden strength despite price	Bullish bias Momentum Flip Prepare for upside continuation and

		weakness Bears are trying to take control but Bulls maintain control of volume pressure	exit any shorts.
EF making higher lows (↑) [BELOW ZERO]	Price making lower lows (↓)	Bullish Divergence Below Equilibrium Hidden strength despite price weakness Bulls are buying the weakness Bears are losing steam but maintain control of volume pressure	Bearish Bias Momentum Flip Prepare for a bullish reversal but maintain caution as sell pressure is dominant.
EF making lower highs (↓) [ABOVE ZERO]	Price making Higher highs (↑)	Bearish Divergence Above Equilibrium Hidden weakness despite price strength Bears are selling into the strength Bulls are losing steam but maintain control of volume pressure	Bullish Bias Momentum Flip Prepare for a bearish reversal but maintain caution as buy pressure is dominant.
EF making lower highs (↓) [BELOW ZERO]	Price making Higher highs (↑)	Bearish Divergence Below Equilibrium	Bearish Bias Momentum Flip Prepare for



		Hidden weakness despite price strength Bears selling into the strength Bulls are trying to take control but Bears maintain control of volume pressure.	downside continuation and exit any longs.
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III. Cheat Sheet

EF	Price Action	EF:Zero Line	General Interpretation	General Action Bias
(↑)	(↑)	Above	Dominant Buy Pressure Trend Confirmation	Look for Longs
(↓)	(↓)	Above	Dominant Buy Pressure Trend Confirmation	Look for Shorts Caution that Bullish pressure is dominant
(↑)	(↑)	Crossing (↑)	Bulls taking control of volume pressure	Bullish Signal Look for Longs Caution of fakeouts
(↓)	(↓)	Crossing (↓)	Bears taking control of volume	Bearish Signal



			pressure	Look for Shorts Caution of fakeouts
(↑)	(↓)	Above	Dominant Buy Pressure Trend Exhaustion	Momentum Flip Look for Longs
(↑)	(↓)	Below	Dominant Sell Pressure Trend Exhaustion	Momentum Flip Look for Longs Caution Bears Dominate Volume Pressure Exit Shorts
(↓)	(↑)	Above	Dominant Buy Pressure Trend Exhaustion	Momentum Flip Look For Shorts Caution Bulls Dominate Volume Pressure Exit Longs
(↓)	(↑)	Below	Dominant Sell Pressure Trend Exhaustion	Momentum Flip Look for Shorts



E. General Strategy + Examples

Ebb + Flow shows how bullish and bearish tides flow in and out, gauging volume pressure for accumulation (ebb in) or distribution (flow out). It shines in spotting shifts in buyer/seller control.

I. Multi-Timeframe Confluence

i. Ocean Analogy

Continuing the theme, think of each time frame as water movement within the ocean. Instead of looking at one timeframe (like 15m), you reference bigger and smaller ones to see if they all agree on flow direction.

Think of it as layers of confirmation:

1. The Tides (HTF)

→ [Monthly, Weekly, Daily]

→ These show the “larger tides” – the main bias

2. The Currents (MTF)

→ [4H, 2H, 1H]

→ Do the “currents” confirm the “larger tides” – confirmation layer

3. The Ripples (LTF)

→ [1H, 30m, 15m, 5m]

→ The quick “surface waves” that give the exact “go” signal to surf or duck (entry/exit).

- Why do this? Lower time frames alone don't provide enough confirmation, while longer timeframes hold more weight.

ex:

HTF: big slow waves moving upward above 0 → “main direction”

MID TFs: Does it match HTF? yes → confirmation layer

LTF: ripples are about to flip positive → “trigger”

*The tides and currents say UP, but we wait for the right wave to show to enter.
Once LTF flips positive, we will be ready to ride that long momentum wave.*

II. Trend Confluence Strategy

Trade with the dominant flow direction, using EF as the pressure gauge.
Positive flows often lead price (60-75%) correlation in asset prices.

i.1D - The Tides



i.4H - The Currents



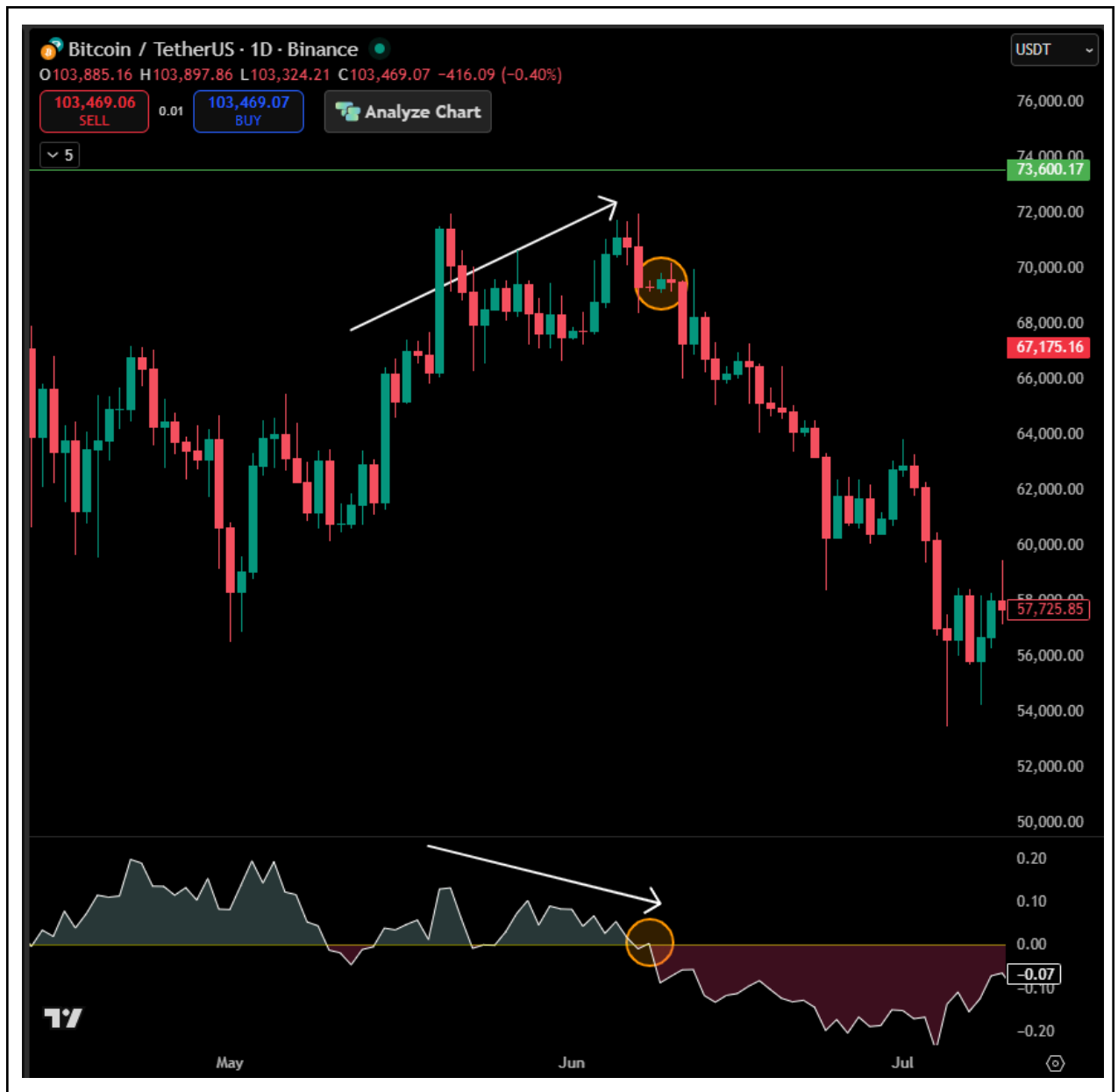
i.15m - The Ripples



III. Divergence Strategy (Advanced)

Spotting conflicting direction between price and EF for reversal strategies. Divergences are one of its most powerful features for spotting the hidden tides and shifts within market movements— almost like a lie detector. Price might scream uptrend, but if EF is slowly flowing out, the trend could be on borrowed time.

i.1D - The Tides



F. Applications and Limitations

This section covers practical ways to apply this indicator across different trading styles and timeframes, with a focus on multi-timeframe confluence. Use these guidelines to integrate the indicator into your overall trading system as you see fit.

I. Trading Style & Timeframes

Time Frame	Trading Setup	Use Case
Weekly	Position Trading	Macro fades Month long holds
Daily	Swing Trading	HTF reversions 3-7 day holds
4H	Swing Trading	HTF reversions 3-7 day holds
1H	Day Trading	LTF reversions entries/exits intraday holds
15m	Scalping	LTF reversions
5m	Scalping	LTF reversions

II. Limitations

While robust, the indicator has inherent volume pitfalls. Understand these to mitigate misinterpretation, over-reliance, and losses.

Limitation	Description	Interpretation
Volume Dependency	The more volume, the higher the accuracy The lower the volume, the lower the accuracy	Avoid using against illiquid assets
False Extremes in Gaps	News gaps jump bands without reversions	Give less decision-weight on event days
Capped Length	Can be ineffective on very long TFs such as 1M	Tradingview only allows for a certain amount of references and lengths.
Divergence False Positives	Not all divergences reverse	Confirm with volume and confluence with other indicators to increase strength

Price moves rhythmically in a wave-like fashion. Ebb + Flow helps identify the strength in each movement.

Win by aligning with strong pressure shifts, confirming with layers and other indicators such as Signals, Ebb + Flow, and/or Momentum/Reversion